IKIMINA SAVINGS AND LOAN AGREEMENT

Member Terms and Conditions, System Operations and Responsibilities

Ikimina Name: _____

Registration Number (if applicable): _____

Effective Date: ____ / ____ / _____

Member Full Name: _____

Member ID: _____

Telephone Number: _____

PAGE 1: SAVINGS AND LOAN TERMS AND CONDITIONS

1. Purpose of the Agreement

This agreement establishes the rules governing monthly savings, loan applications, loan approvals, interest charges, repayment obligations, and the use of the Ikimina Savings &
Loan Management System.
By signing this agreement and submitting a loan request, the member confirms that they have read, understood, and agreed to comply with these terms and conditions.

2. Monthly Savings Contributions

- Every member is expected to contribute **25,000 RWF per month**.
- Each payment shall be recorded in the Ikimina's official financial records and, where available, the digital management system.
- Members may access their accounts to view their savings history, payment records, and applicable earnings.
- A member who misses or partially pays a monthly contribution must contact the administration to clarify the outstanding amount and agree on the appropriate action under the Ikimina's approved rules.
- Corrections to savings records must be supported by payment evidence and recorded in the system's audit history.

3. Loan Eligibility and Maximum Loan Amount

- An eligible member may request a loan based on their accumulated savings.
- The maximum loan eligibility is calculated as:
- **Maximum Loan = Total Eligible Savings × 1.8**
- For example, if a member has accumulated savings of 300,000 RWF, the maximum calculated loan eligibility is 540,000 RWF.
- Meeting the maximum loan calculation does not guarantee approval. Every application remains subject to the availability of group funds, verification of savings, outstanding loan obligations, and the required approval process.
- The Ikimina may decline a request that does not meet the agreed rules or available funding limits, provided the decision is recorded with a reason.

4. Loan Interest and Repayment Period

- The standard interest rate is **3% of the outstanding loan balance per month**, payable every month until the loan and all accrued interest are fully paid.
- Interest shall begin accruing from the actual loan disbursement date and shall continue to accrue monthly until the outstanding principal and all applicable interest have been paid in full.
- Total repayment shall be calculated as:

Monthly Interest = Outstanding Loan Balance × 3%

Total Amount Due = Outstanding Principal + Accrued Monthly Interest

- Example: A loan with an outstanding balance of 500,000 RWF attracts 15,000 RWF interest for one month. If the principal remains unpaid, interest shall continue to accrue at 3% per month until payment is made.
- The member must pay the applicable monthly interest and repay the outstanding principal according to the agreed repayment schedule, with all amounts fully paid by the final due date stated in the loan-specific agreement.
- The system shall record the disbursement date, due date, principal, monthly interest, payments received, accrued interest, and remaining balance.
- Any extension, restructuring, or change to the repayment terms must be approved and documented in writing by the authorized officers before it takes effect.

5. Member's Loan Repayment Commitment

By signing a loan-specific agreement, the member undertakes to:

- Repay the principal and agreed interest in full by the due date.
- Pay the 3% monthly interest on the outstanding balance until the loan is fully paid.
- Provide accurate personal and financial information.
- Use the loan for the purpose stated in the application, where applicable.
- Keep payment receipts and report any payment that has not appeared in the system.
- Notify the administration promptly if a payment discrepancy or repayment difficulty occurs.
- Accept that failure to repay may result in recovery action under the Ikimina's approved rules and applicable law.

No additional penalty, late fee, or charge shall apply unless it has been properly approved, disclosed, and agreed to in writing, subject to applicable law.

PAGE 2: LOAN APPROVAL, RECORDS AND RESPONSIBILITIES

6. Loan Application and Approval Process

Every loan request must follow the official approval process:

Step 1: Application: The member logs in, reviews their savings and eligible loan limit, enters the requested amount and loan purpose, and submits the application.

Step 2: First Approval: The first authorized administrator verifies the member's details, savings, eligibility, and requested amount. The administrator records an approval or rejection and any relevant comments.

Step 3: Second Approval: A different authorized administrator independently reviews the application and records a decision.

Step 4: Supervisor Review: The supervisor verifies that the required approvals and records are complete and authorizes the final decision according to the Ikimina's governance rules.
Step 5: Disbursement: After final approval and confirmation that funds are available, the loan is disbursed. Monthly interest begins accruing on the actual disbursement date and continues until the loan is fully paid.
Step 6: Loan Record and Agreement: The system generates or stores the final loan agreement, approval records, repayment schedule, and applicable electronic signatures.
A loan must not be disbursed before all mandatory approvals are completed. The same person must not act as both first and second approver for the same application.

7. Rejected Loan Applications

- A loan may be rejected if the member is ineligible, the requested amount exceeds the permitted limit, the group lacks sufficient funds, information cannot be verified, or another approved lending rule is not satisfied.
- The responsible officer must record the reason for rejection.
- The system shall notify the member of the decision.
- The member may download a rejection report showing the application reference, requested amount, decision, reason, date, and authorized officers' approval records.
- A rejected application does not create a repayment obligation because no loan principal has been disbursed.

8. Digital Signatures and Electronic Records

- The Ikimina may use electronic approvals and signatures to document loan decisions and agreements, subject to applicable law.
- Each authorized officer must approve using their own account and authorized signing method.
- The system shall record the signer's identity, role, date, time, decision, and relevant transaction reference.
- No person may sign, approve, or use another officer's account without authorization.
- Electronic records and generated PDF reports shall be protected against unauthorized access and alteration. Corrections must be traceable.
- A displayed signature image alone shall not be treated as conclusive proof of authorization; the system must retain the corresponding authenticated approval record.

9. Financial Records and Transparency

The Ikimina shall maintain records of:

- Member contributions and savings balances.
- Loans requested, approved, rejected, and disbursed.
- Monthly interest charged, accrued interest, and repayments received.
- Member earnings and their approved calculation method.
- Administrative changes and approval history.
- Monthly and annual financial reports.

Members may view their own records. Authorized officers may access group-wide records only to the extent necessary for their assigned responsibilities.

10. Loan Earnings and Distribution

Interest received from loans shall be recorded as group income. The allocation of that income to reserves, expenses, or member earnings shall follow the distribution method approved by the Ikimina's members and documented in its financial rules.
No member is entitled to a particular earnings amount until it has been calculated and approved under the agreed distribution method.

PAGE 3: SYSTEM OPERATIONS, MEMBER ACKNOWLEDGMENT AND SIGNATURES

11. Summary of How the Ikimina System Works

The digital management system is designed to make the group's savings and loan activities transparent, traceable, and easier to manage.

Savings: Members contribute 25,000 RWF monthly. Administrators record payments, or verified bank payment notifications may update the records automatically if an approved bank integration is available.

Member Dashboard: Each member can view their savings balance, monthly contributions, earnings, loan eligibility, loan applications, repayment information, and available reports.

Loan Requests: The system calculates the maximum eligible loan using the 1.8 multiplier, displays the 3% monthly interest and applicable repayment amount, and records the application.

Approvals: Two different authorized administrators review the request, followed by the supervisor's required final review. Rejections must include a reason.

Disbursement and Repayment: Once the loan is fully approved and disbursed, the system begins calculating monthly interest at 3% of the outstanding balance and tracks repayments until the balance and all accrued interest are cleared.

Reports: Authorized users can generate PDF and Excel reports for savings, earnings, loan approvals, rejections, interest charges, and repayment records.

Security: User permissions, authentication, transaction verification, digital approval records, and audit logs help protect the group's financial information.

12. Roles and Responsibilities

A. Member / Investor

- Pay the agreed monthly contribution.
- Provide accurate information and keep login credentials confidential.
- Review savings and earnings records.
- Submit truthful loan applications.
- Read and accept the applicable loan terms before signing.
- Repay approved loans on time and pay the 3% monthly interest on the outstanding balance until the loan is fully paid.
- Report discrepancies promptly.

B. First Administrator / Loan Officer

- Maintain accurate member and savings records.
- Check loan eligibility, savings, and supporting information.
- Record the first decision and its reason.
- Avoid approving applications where they have a conflict of interest.
- Maintain confidentiality and follow the Ikimina's approved procedures.

C. Second Administrator / Independent Approver

- Independently verify the loan application and first review.
- Confirm that the amount, eligibility, and required documentation are correct.
- Approve or reject the request with a recorded reason.
- Never reuse another officer's account or approve their own first-stage decision.

D. Supervisor

- Verify that mandatory approvals have been completed.
- Confirm compliance with the Ikimina's financial rules and available funds.
- Authorize the final decision where required.
- Review reports, discrepancies, and audit records.
- Escalate suspected fraud, unauthorized changes, or financial irregularities.

E. System Administrator / Technical Support

- Maintain system availability, user accounts, backups, and security.
- Assign permissions according to approved roles.
- Investigate technical errors and payment-matching discrepancies.
- Never change financial records without proper authorization and an auditable reason.
- Avoid making financial approval decisions solely because of technical access.

13. Amendments and Dispute Resolution

Any change to the monthly contribution, interest rate, loan multiplier, repayment period, approval process, or earnings distribution must be approved under the Ikimina's agreed governance procedures, documented, and communicated to members before it is applied to new transactions.
Disputes shall first be submitted to the Ikimina's authorized committee for review. If unresolved, they shall be handled through the applicable legal and dispute-resolution procedures.
This agreement shall be interpreted in accordance with the applicable laws and regulations governing the Ikimina and its activities. The Ikimina should obtain appropriate legal advice before using this agreement for actual lending.

14. Member Declaration and Consent

- I, the undersigned member, confirm that:
- I have read and understood this agreement.
- I understand the monthly contribution of 25,000 RWF.
- I understand that the maximum loan eligibility is calculated using the 1.8 savings multiplier.
- I understand the 3% monthly interest on the outstanding loan balance and the requirement to continue paying interest until the loan is fully paid.
- I understand that loan approval is subject to the required independent reviews and availability of funds.
- I agree to provide accurate information, comply with the approved rules, and repay any loan I accept under the signed loan-specific agreement.
- I have had the opportunity to ask questions and obtain clarification before signing.

Member Full Name: _____

Member Signature: _____

Date: ____ / ____ / _____

First Administrator Name: _____

Signature: _____ **Date:** _____
Second Administrator Name: _____

Signature: _____ **Date:** _____

Supervisor Name: _____

Signature: _____ Date: _____

Official Ikimina Stamp (if applicable): _____

Document version: 1.0 | Effective date: _____